

India should use Trump's tariff reprieve to finalise deals with US, EU, UK

Now that US President Donald Trump has paused the implementation of his full “**reciprocal tariffs**” — goods exported from India will now attract only 10 per cent and not the earlier declared 26 per cent duty — it opens up valuable time for the Narendra Modi government to push through **bilateral** trade agreements (BTA), not only with the US, but also the European Union and the United Kingdom. External Affairs Minister S Jaishankar has signalled as much, saying that Indian **negotiators** are “**really charged up**” and trying to communicate to all three sides the “urgency” to **conclude** trade deals. The plan of action seems to be to use the 90-day pause period effectively and **firm up** a BTA with the US **by this fall** (September-October). Simultaneously, trade discussions would be **expedited** to **clinch pacts** with the EU and UK.

If these talks **come to fruition**, it will have more than symbolic **significance**. The three countries/blocs together **accounted for** 38.1 per cent of India's merchandise exports and 16.5 per cent of its imports in 2023-24. **India, moreover, runs** trade surpluses with each of the three — **unlike** with China, the ASEAN region or the likes of Korea, Japan, Hong Kong, Taiwan or Australia. India can, **to that extent, negotiate** BTAs more confidently with the US, EU and UK than with the latter countries. The gains from trade would be all the more if services are included. In fact, India must **pitch for** reducing barriers to trade in services — which translates into improved market access for its IT professionals and skilled workers, among others — in ongoing as well as future agreements, whether multilateral or bilateral. For the moment, the focus should be to finalise deals with the three countries/**blocs**, ideally covering both goods and services, at the earliest. Doing so would send out a clear message that India means, and is ready to do, business.

The current trade talks should extend beyond lowering tariffs to also **easing** non-tariff barriers (NTB). The EU's **proposed carbon border tax** on imports — **supposedly to penalise emissions** generated during their production — or **incorporation** of environmental, labour and human rights into trade negotiations are clear **instances** of such NTBs. India is equally guilty of issuing **so-called** quality control orders — requiring imported goods, from chemicals and manmade fibres to cement and electronic devices, to have mandatory Bureau of Indian Standards certification — and not allowing dairy products to enter without proof of their being derived from animals that have not consumed feed containing internal organs, blood meal or tissues of **ruminant/porcine** origin. Such non-transparent and **burdensome requirements**, neither **aligned** to international standards nor having any scientific or **discernible** safety justification, **have** no place in fair trade between countries that are market- and rule-based **economies**.

[Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where ‘red’ denotes ‘subject’ and ‘blue’ denotes ‘verb’.
- **By this fall** (phrase) – means before the end of the fall season (autumn) of the current year

Vocabulary

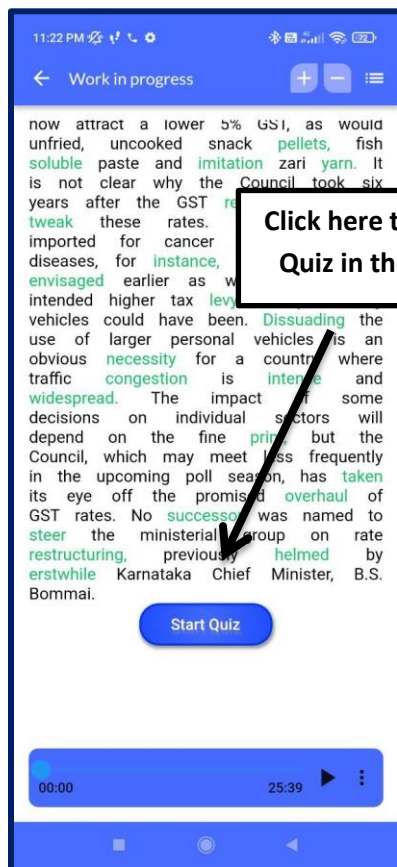
1. **Tariff** (noun) – duty, tax, levy, charge, toll
सीमा शुल्क / कर
2. **Reprieve** (noun) – relief, delay, suspension, postponement, stay राहत
3. **Reciprocal tariff** (noun) – a tax or duty levied on imports from a country that has imposed a tariff on goods exported from the first country पारस्परिक शुल्क
4. **Bilateral** (adjective) – two-sided, mutual, reciprocal, joint, shared द्विपक्षीय
5. **Negotiator** (noun) – mediator, diplomat, envoy, intermediary, representative वार्ताकार
6. **Charge up** (phrasal verb) – energise, motivate, enthuse, invigorate, excite उत्साहित करना
7. **Conclude** (verb) – finalise, complete, agree on, settle, close समाप्त करना / निष्कर्ष निकालना
8. **Firm up** (phrasal verb) – confirm, solidify, secure, finalise, establish पक्का करना
9. **Expedite** (verb) – speed up, accelerate, hasten, advance, quicken तेज़ी लाना
10. **Clinch** (verb) – seal, secure, confirm, finalise, wrap up तय करना / अंतिम रूप देना
11. **Pact** (noun) – agreement, treaty, accord, deal, contract समझौता
12. **Come to fruition** (phrase) – succeed, materialise, realise, be fulfilled, bear fruit साकार होना / फलदायी होना
13. **Significance** (noun) – importance, meaning, consequence, weight, value महत्व
14. **Account for** (phrasal verb) – constitute, represent, make up, comprise, बनाना
15. **Moreover** (adverb) – additionally, furthermore, also, besides, in addition इसके अलावा
16. **Unlike** (preposition) – in contrast to, different from, dissimilar to, contrary to इसके विपरीत
17. **To that extent** (phrase) – in that case, accordingly, to that level, relatively उस हद तक
18. **Negotiate** (verb) – bargain, discuss, mediate, arrange, settle बातचीत करना
19. **Pitch** (for) (verb) – propose, advocate, recommend, push, lobby प्रस्ताव रखना
20. **Bloc** (noun) – alliance, coalition, group, federation, confederation समूह
21. **Ease** (verb) – relax, reduce, alleviate, moderate, simplify कम करना

22. **Proposed** (adjective) – suggested, planned, recommended, put forward, intended
प्रस्तावित
23. **Carbon border tax** (noun) – a tariff or duty levied on imported goods based on the amount of carbon emissions generated during their production. कार्बन सीमा कर
24. **Supposedly** (adverb) – allegedly, apparently, reportedly, presumably, seemingly कथित रूप से
25. **Penalise** (verb) – punish, fine, sanction, discipline, impose a penalty दंडित करना
26. **Emission** (noun) – discharge, release, outflow, ejection, expulsion उत्सर्जन
27. **Incorporation** (noun) – inclusion, integration, assimilation, embodiment, combination सम्मिलन / एकीकरण
28. **Instance** (noun) – example, case, occurrence, situation, illustration उदाहरण
29. **So-called** (adjective) – allegedly named, falsely termed, supposed, self-styled, nominal तथाकथित
30. **Ruminant** (adjective) – grazing, cud-chewing (animal), bovine-related, herbivore, cattle-related जुगाली करने वाला
31. **Porcine** (adjective) – pig-related, swine-like, of pigs, hog-related, piggish सूअर संबंधी
32. **Burdensome** (adjective) – heavy, oppressive, troublesome, cumbersome, difficult बोझिल / कष्टदायक
33. **Align** (verb) – match, coordinate, conform, harmonise, integrate मेल खाना / संरेखित करना
34. **Discernible** (adjective) – visible, noticeable, detectable, observable, perceptible स्पष्ट / पहचाने योग्य
35. **Economies** (noun) – Countries in terms of GDP अर्थव्यवस्थाएँ

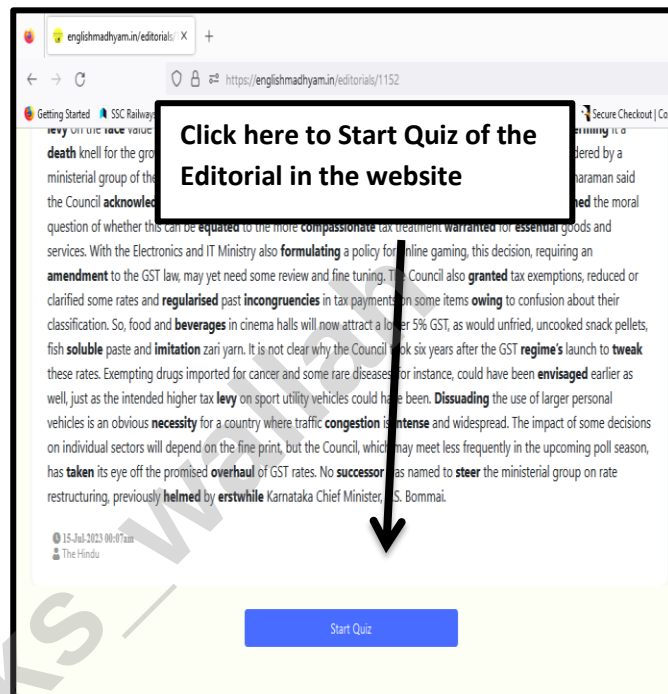
Summary of the Editorial

1. **Tariff Reprieve by Trump** – The US has paused the implementation of full “reciprocal tariffs”, reducing the duty on Indian exports from **26% to 10%**, creating a window for trade negotiations.
2. **Strategic Opportunity for India** – The 90-day pause presents a **crucial timeframe** for India to advance **bilateral trade agreements (BTAs)** with the US, European Union, and United Kingdom.
3. **Indian Diplomacy Energised** – External Affairs Minister **S. Jaishankar** confirmed that Indian negotiators are "charged up" and engaging all three partners with urgency.
4. **Planned Timeline** – The government aims to **finalise a BTA with the US by fall (Sept-Oct)** while expediting talks with the EU and UK simultaneously.
5. **High Trade Stakes** – In 2023–24, these three partners accounted for **38.1% of India's exports** and **16.5% of its imports**, highlighting their economic significance.
6. **Trade Surpluses with Trio** – India enjoys **trade surpluses** with the US, EU, and UK — unlike its trade deficits with China, ASEAN, and East Asian nations — offering a stronger **bargaining position**.
7. **Confidence in BTA Negotiations** – Surpluses allow India to negotiate with **greater confidence** compared to its deficit-heavy trading partners.
8. **Importance of Services Sector** – India must **push for inclusion of services** in these trade deals, aiming for better market access for **IT professionals and skilled workers**.
9. **Focus on Comprehensive Agreements** – The goal should be to finalise **deals covering both goods and services**, not just tariff reductions.
10. **Beyond Tariffs – Tackling NTBs** – India must also work on reducing **non-tariff barriers (NTBs)**, which hinder trade through indirect regulations and standards.
11. **Examples of Foreign NTBs** – The EU's proposed **carbon border tax** and its inclusion of **environmental, labour, and human rights clauses** are key examples of NTBs.
12. **India's Own NTBs** – India too imposes NTBs such as **quality control orders** requiring **BIS certification** on many imports and restrictive norms for **dairy products**.
13. **Lack of Transparency** – Some Indian NTBs lack **alignment with international standards** and are often **non-scientific**, making them contentious in fair trade discussions.
14. **Need for Rule-Based Trade** – India must commit to **market- and rule-based** trade practices to ensure legitimacy in global negotiations.
15. **Signal of Reform-Oriented India** – Finalising these BTAs quickly would **signal India's readiness for open, modern trade**, strengthening its global economic presence.

Practice Exercise: Banking Pattern Based



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